double digits; bonds fell by about 15%, while stocks decreased by around 20% (or more). Some incorrectly declared this the end of the traditional 60/40 stock and bond portfolios, but they had it exactly backward. The last time both stocks and bonds fell simultaneously was way back in 1981. With the exception of one or two years per century, bonds serve as a reliable, non-correlated counterweight to equities.

Depending on your circumstances, you may want a low-risk source of annual income. Treasuries, investment-grade corporates, TIPs, and municipal bonds are excellent for this. You can use the quarterly (or monthly) payments to fund a trust, donate to a charity, guarantee your kids an income for their lifetimes, or live off the interest payments.

If you are in a high-tax state (New York, California, Massachusetts, etc.), the income you receive from municipal bonds is tax free; residents of the 13 states with no state income tax (Florida, Texas, etc.) can purchase a national portfolio of tax-free munis. If you are in the highest tax bracket, munis may make sense for you.

Your specific circumstances will greatly affect the mix of bonds you want to own and the best vehicles for your needs. (Here is where a professional can help.) Whether you are modestly risk-averse and uncomfortable during market drawdowns, or are looking for a steady stream of income, owning some fixed-income securities may make sense for you.

How tax-aware are you when it comes to your portfolio? That is our next topic.

---

416 If you purchase a money market fund, you are a holder of short-term bonds, even though MMFs are effectively cash. They produce income in exchange for taking on a tiny risk of default. As of this writing in late 2024, my Schwab Value Advantage Money Ultra Shares (SNAXX) was yielding 4.74%—down from 5.45% over the summer of 2024.